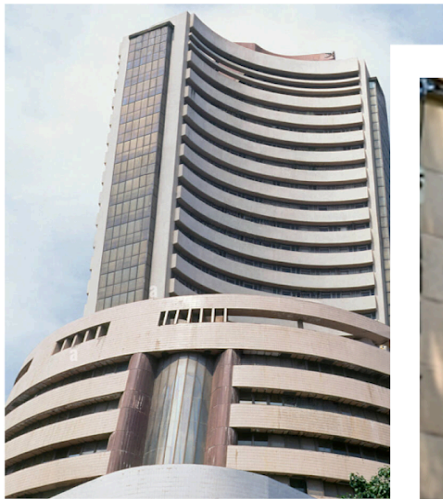


General Knowledge

Indian Economy

STUDY NOTES

Five Year Plans

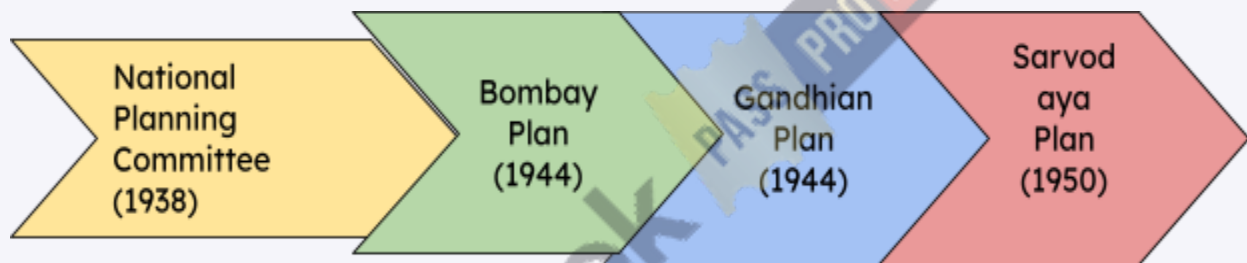


FIVE YEAR PLANS

Indian planning is **an open and democratic process**, with public debates, international inputs, and responsiveness to criticism. The final plan documents reflect the workings of an open society but also present challenges in defining an optimal economic strategy.

History of Planning in India:

- Economic planning in India officially began with the First Five-Year Plan in 1951, but theoretical planning efforts predate independence.
- The influence of socialist models and centralized planning, inspired by the **Soviet Union's approach**, shaped early Indian planning.
- Key historical milestones include:



Planning Commission of India

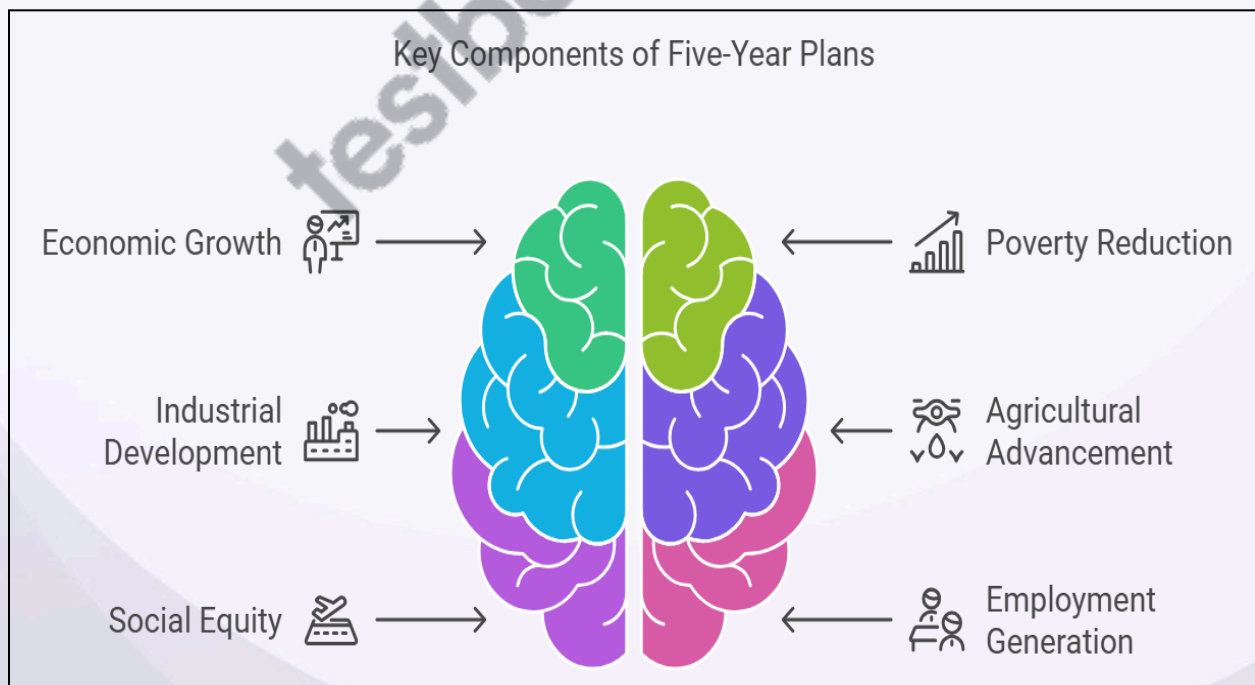
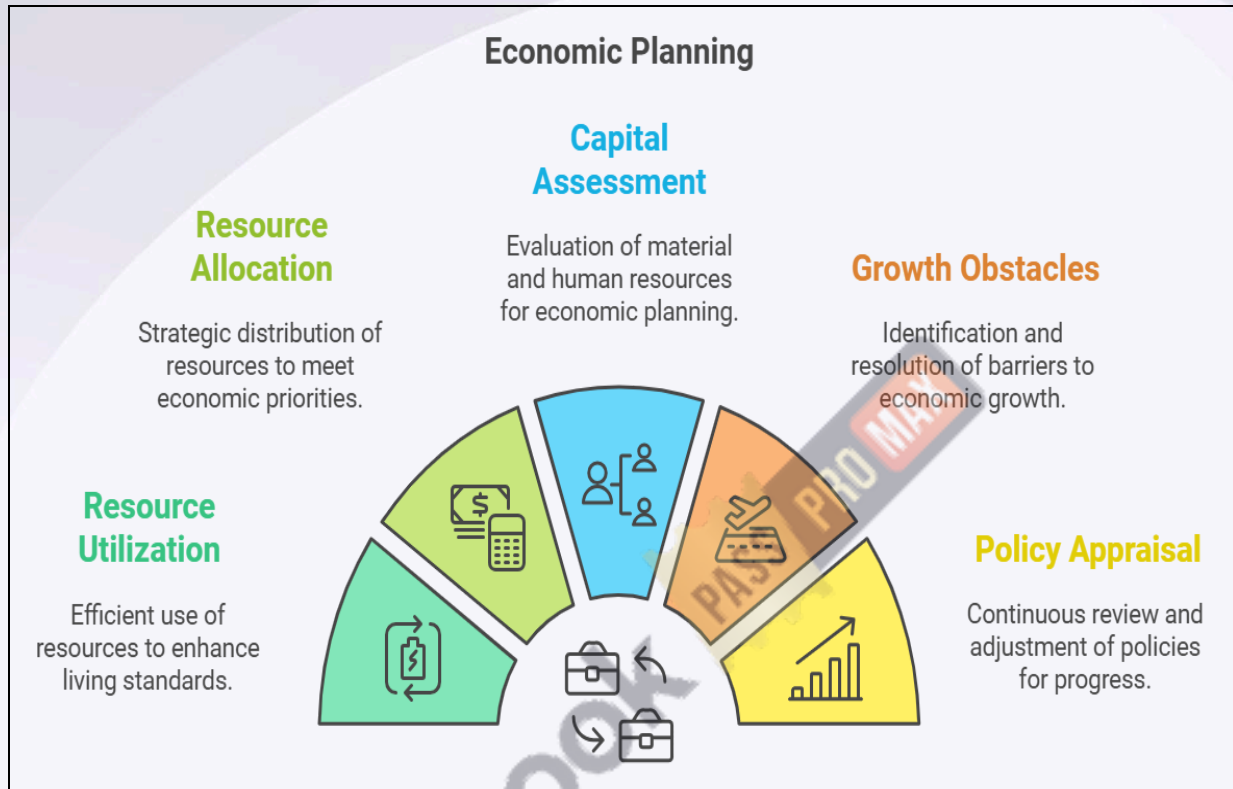
Overview:

- Established: **March 15, 1950**.
- Function: Oversaw the economic and social development through Five-Year Plans.
- Headed by: The Prime Minister, with a full-time Deputy Chairman.

Key Features:

- Developed and implemented by the **Planning Commission** (now replaced by **NITI Aayog**).
- Focuses on different sectors such as **agriculture, industry, transport, and social services**.
- Guided by national priorities, global conditions, and available resources.

- Each plan is evaluated for its **achievements** and **shortcomings** before formulating the next plan.



Five-Year Plans

Inspiration: Based on the economic planning model of the former USSR.

Total Plans Launched: 12 Five-Year Plans.

Last Plan: The 12th Plan (2012-2017); after which the Planning Commission was replaced by NITI Aayog.

Five-Year Plan	Duration	Focus	Achievements	Challenges	Key Initiatives
First Five-Year Plan	1951-56	Agriculture, irrigation, and transport	Achieved growth of 3.6%	Limited infrastructure development	Major dam projects (Bhakra-Nangal, Hirakud), establishment of IITs
Second Five-Year Plan	1956-61	Industrialization (heavy industries)	Achieved growth of 4.27% (target: 4.5%)	Foreign exchange shortages, price inflation	Establishment of steel plants (Bhilai, Durgapur, Rourkela)
Third Five-Year Plan	1961-66	Self-reliance in agriculture and industry	Achieved growth of 2.4% (target: 5.6%)	Wars with China and Pakistan, drought	Gadgil Yojana for agriculture and industry
Plan Holidays	1966-69	Focus on agriculture and food security	Annual plans initiated	Conflicts and Failures of the Third Plan	Emphasis on food security
Fourth Five-Year Plan	1969-74	Agricultural Growth and Green Revolution	Achieved growth of 3.3% (target: 5.6%)	Poor monsoons, rising prices, refugee crises	Promotion of high-yield varieties of crops

Five-Year Plan	Duration	Focus	Achievements	Challenges	Key Initiatives
First Five-Year Plan	1951-56	Agriculture, irrigation, and transport	Achieved growth of 3.6%	Limited infrastructure development	Major dam projects (Bhakra-Nangal, Hirakud), establishment of IITs
Fifth Five-Year Plan	1974-78	Poverty alleviation (Garibi Hatao) and self-reliance	Achieved growth of 5.0% (target: 4.4%)	High inflation, political instability	Introduction of Minimum Needs Programme
Rolling Plan	1978-80	Rejection of the Fifth Plan	Conceptual framework established	Political instability	Flexible planning approach
Sixth Five-Year Plan	1980-85	Economic liberalization, agriculture, infrastructure	Achieved growth of 5.4% (target: 5.2%)	Droughts in the final year	Focus on employment generation
Seventh Five-Year Plan	1985-90	Economic productivity and employment generation	Achieved growth of 6.01% (target: 5.0%)	Rising inflation, global economic changes	Strengthening of public sector enterprises
Annual Plans	1990-92	Political instability led to annual planning	Major reforms initiated in 1991	Economic crisis, balance of payments issue	Structural adjustments in the economy
Eighth Five-Year Plan	1992-97	Industrial modernization and poverty reduction	Achieved growth of 6.8% (target: 5.6%)	Global economic shifts, Asian financial crisis	Focus on private sector participation

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First Five-Year Plan	1951-56	Agriculture, irrigation, and transport	Achieved growth of 3.6%	Limited infrastructure development	Major dam projects (Bhakra-Nangal, Hirakud), establishment of IITs
Ninth Five-Year Plan	1997-2002	Agriculture and rural development with social justice	Achieved growth of 5.40% (target: 6.5%)	Natural calamities, socioeconomic disparities	Emphasis on rural development schemes
Tenth Five-Year Plan	2002-07	8% GDP growth and employment opportunities	Achieved growth of 7.3% (target: 8.1%)	Global economic uncertainties, infrastructure gaps	Targeted employment generation schemes
Eleventh Five-Year Plan	2007-12	Faster and more inclusive growth	Achieved robust growth but faced global financial crises	Economic downturns	Aimed to double per capita income by 2016-17
Twelfth Five-Year Plan	2012-17	Sustainable growth, poverty reduction, skill development	Aimed for growth of 8.2%	Global economic slowdown, Eurozone crisis	Focus on sustainable development goals

First Five-Year Plan (1951-1956)

- The **First Five-Year Plan** was launched to stabilize the economy post-independence, with a focus on **agriculture, irrigation, and infrastructure development**.

- It was based on the **Harrod-Domar Model**, emphasizing the importance of investment to boost economic growth.
- **44.6% of the total budget** was allocated to agriculture, prioritizing irrigation and food production.
- Major multipurpose irrigation projects like the **Bhakra-Nangal Dam** and **Hirakud Dam** were initiated to support agriculture and hydroelectric power generation.
- **Community Development Programmes** were introduced to improve rural living standards and promote development in villages.
- Roads and transport infrastructure were strengthened to enhance connectivity and support economic activities.
- Technical institutions like **IIT Kharagpur** were established to build technical skills and support industrialization.
- Achieved a **GDP growth rate of 3.6%**, exceeding the target of 2.1%.
- Focused on achieving **self-sufficiency in food production**, reducing dependency on imports.
- Infrastructure development was initiated but remained insufficient for future demands.
- Limited focus on industrialization, as the priority was agriculture.
- Faced challenges such as **resource constraints** and a **lack of skilled manpower** for large-scale projects.
- Laid the foundation for future **economic growth** and institutional development.

Second Five-Year Plan (1956-1961)

- The **Second Five-Year Plan** focused on **industrialization**, particularly the development of **heavy industries** and strengthening the industrial base.
- It was based on the **Mahalanobis Model**, which emphasized the importance of capital goods industries for long-term economic growth.
- A significant portion of the budget was allocated to **steel plants**, resulting in the establishment of **Bhilai, Rourkela, and Durgapur Steel Plants**.
- Priority was given to **industrial expansion**, including machinery, chemicals, and heavy engineering.
- **Small-scale industries** were encouraged to promote employment and regional balance.
- Focused on improving **transport and energy sectors** to support industrial growth.
- Achieved a **GDP growth rate of 4.27%**, slightly below the target of 4.5%.

- Introduced measures to improve **social services** like health and education alongside industrial development.
- Faced challenges such as **foreign exchange shortages**, and limiting the import of essential machinery and raw materials.
- **Price inflation** emerged as a significant issue due to increased demand and limited supply.
- Laid the foundation for a **mixed economy**, balancing public and private sector contributions.
- Promoted **scientific and technological development** to support industrial progress and future plans.

Third Five-Year Plan (1961-1966)

- The **Third Five-Year Plan** aimed at achieving **self-reliance** in agriculture and industry to reduce dependency on imports.
- It emphasized the **modernization of agriculture**, with an increased focus on irrigation, fertilizers, and seeds.
- Efforts were made to expand **industrial capacity**, particularly in **basic and heavy industries**.
- Introduced the **Gadgil Yojana**, focusing on decentralized planning and development.
- Aimed to achieve a **GDP growth rate of 5.6%**, but only managed **2.4%** due to external and internal challenges.
- The plan faced setbacks due to the **Indo-China War (1962)** and the **Indo-Pak War (1965)**, which diverted resources to defence.
- Severe **droughts in 1965-66** resulted in food shortages and reduced agricultural productivity.
- Priority was given to **rural development programs** to address poverty and improve living standards.
- Focused on expanding **power generation** and improving transport infrastructure.
- Faced challenges in **mobilizing resources** and meeting targets due to financial constraints and natural disasters.
- The plan ended with **economic instability**, leading to the introduction of **Plan Holidays (1966-1969)**.

Plan Holidays (1966-1969)

- Plan Holidays were introduced due to the failure of the **Third Five-Year Plan** and the economic crisis caused by **wars** and **severe droughts**.
- During this period, **annual plans** were implemented to focus on **short-term goals**, particularly in **agriculture** and **food security**.
- Emphasized increased production of **food grains** to reduce dependency on imports.
- Efforts were made to **stabilize the economy** and control **inflation**.
- Laid the groundwork for the **Green Revolution**, which became a major focus in subsequent plans.

Fourth Five-Year Plan (1969-1974)

- Focused on achieving **agricultural growth** through the **Green Revolution** and **self-reliance**.
- Promoted the use of **high-yield variety (HYV) seeds**, fertilizers, and modern techniques in farming.
- Targeted a **GDP growth rate of 5.6%**, but achieved only **3.3%** due to **poor monsoons** and rising prices.
- Addressed issues like **regional disparities** and unemployment through rural development initiatives.
- Faced challenges such as the **Bangladesh Liberation War (1971)** and the resulting **refugee crisis**.
- Strengthened the foundation for **agricultural self-sufficiency** despite inflationary pressures.

Fifth Five-Year Plan (1974-1978)

- Focused on **poverty alleviation** with the slogan "**Garibi Hatao**" (**Remove Poverty**) and **self-reliance**.
- Introduced the **Minimum Needs Programme** to improve basic services like health, education, and housing.
- Targeted a **GDP growth rate of 4.4%**, but achieved **5.0%**, exceeding expectations.

- Emphasized the expansion of **irrigation, power generation, and rural employment**.
- High inflation and **political instability** led to the premature termination of the plan in 1978.

Rolling Plan (1978-1980)

- Introduced by the **Janata Party** government, the **Rolling Plan** replaced the Fifth Plan.
- Focused on **flexible planning**, with annual adjustments based on the economy's performance.
- Emphasized **short-term goals** in areas like agriculture and employment.
- Political instability during this period hindered long-term development efforts.
- The concept was abandoned after the **change in government** in 1980.

Sixth Five-Year Plan (1980-1985)

- Focused on **economic liberalization, employment generation, and poverty reduction**.
- Achieved a **GDP growth rate of 5.4%**, exceeding the target of 5.2%.
- Gave priority to **irrigation, energy, and infrastructure development**.
- Efforts were made to reduce **population growth** through family planning programs.
- Droughts in the final year posed challenges, but the plan successfully increased employment and improved living standards.

Seventh Five-Year Plan (1985-1990)

- Focused on increasing **economic productivity** and **employment generation** while addressing **regional imbalances**.
- Achieved a **GDP growth rate of 6.01%**, surpassing the target of 5%.
- Promoted the growth of the **public sector** while encouraging **private sector participation**.
- Strengthened the **transport and energy sectors** to support industrial growth.
- Faced challenges like **rising inflation** and global economic changes, but it laid the groundwork for economic reforms.

Annual Plans (1990-1992)

- Introduced due to **political instability** and the economic crisis caused by the **Gulf War** and **balance of payments issues**.
- Focused on **short-term adjustments** to stabilize the economy.
- Key reforms were introduced in 1991, including **liberalization, privatization, and globalization (LPG)** policies.
- Aimed to restore fiscal balance and promote **economic recovery**.

Eighth Five-Year Plan (1992-1997)

- Focused on **industrial modernization, poverty reduction**, and promoting the **private sector**.
- Achieved a **GDP growth rate of 6.8%**, exceeding the target of 5.6%.
- Emphasized **human resource development** through investments in education and healthcare.
- Implemented reforms to integrate India into the **global economy**, such as deregulation and reducing trade barriers.
- Faced challenges like the **Asian financial crisis** and global economic shifts.

Ninth Five-Year Plan (1997-2002)

- Focused on **agriculture, rural development**, and **social justice**.
- Achieved a **GDP growth rate of 5.4%**, falling short of the target of 6.5%.
- Emphasized **poverty reduction** through rural development schemes.
- Faced challenges like **natural calamities**, socio-economic disparities, and inadequate infrastructure.
- Strengthened efforts for **environmental protection** and sustainable development.

Tenth Five-Year Plan (2002-2007)

- Aimed to achieve **8% GDP growth** and create **employment opportunities**.
- Achieved a **GDP growth rate of 7.3%**, slightly below the target of 8.1%.

- Focused on reducing **poverty** and improving **infrastructure**.
- Promoted targeted programs like **rural employment schemes**.
- Faced challenges like **global economic uncertainties** and infrastructure gaps.

Eleventh Five-Year Plan (2007-2012)

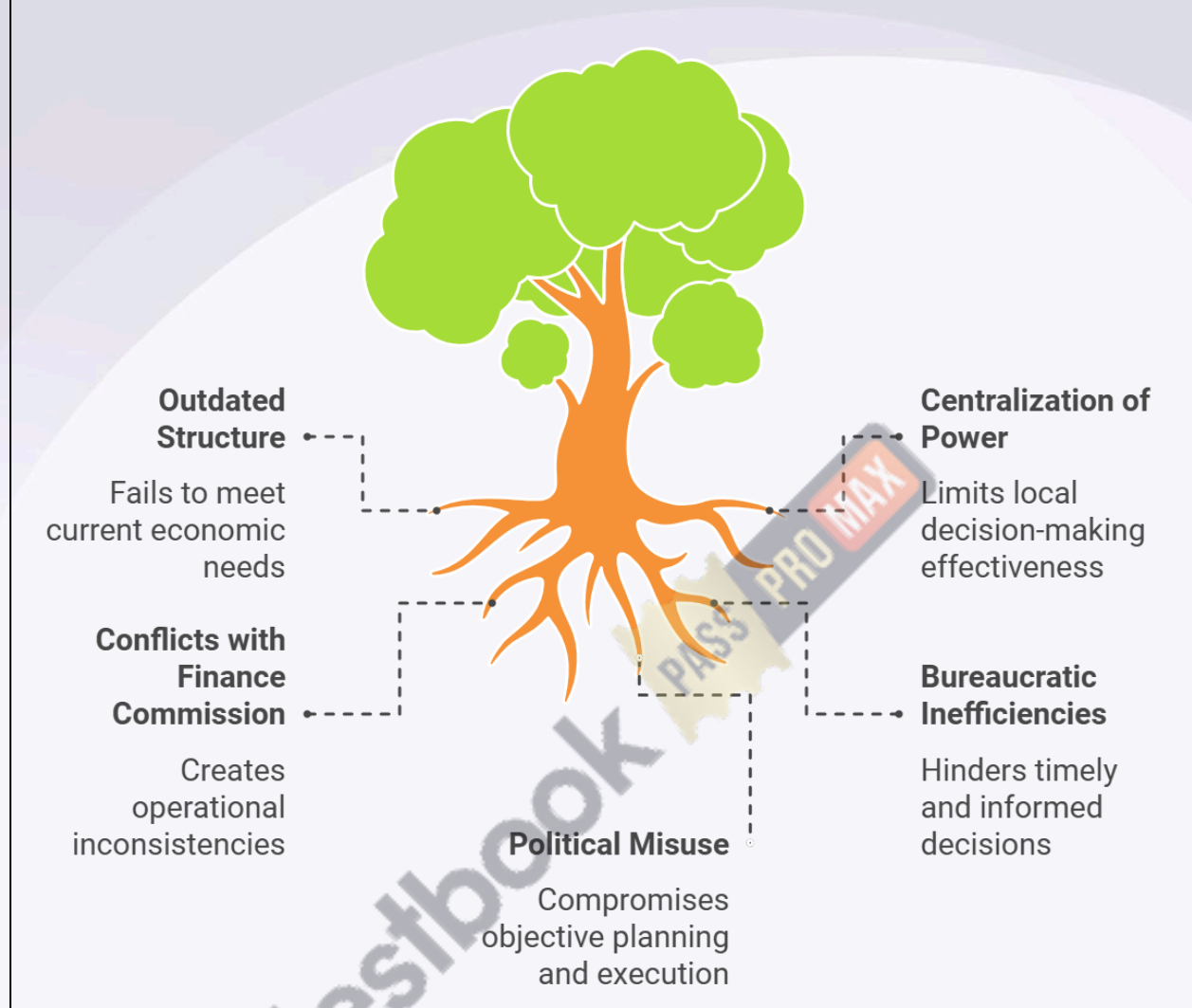
- Focused on **faster and more inclusive growth** to address socio-economic inequalities.
- Aimed to **double per capita income** by 2016-17.
- Achieved significant economic growth but faced challenges like the **global financial crisis**.
- Strengthened efforts in **healthcare, education, and skill development**.
- Targeted rural employment through schemes like **MGNREGA** and improved rural infrastructure.

Twelfth Five-Year Plan (2012-2017)

- Focused on **sustainable growth, poverty reduction, and skill development**.
- Aimed for a **GDP growth rate of 8.2%**, but the actual growth was lower due to a **global slowdown**.
- Promoted **sustainable development goals (SDGs)** to ensure environmental sustainability.
- Strengthened efforts to promote **inclusive development** and reduce inequalities.
- Faced challenges like the **Eurozone crisis** and slowing global trade.

Shortcomings of the Planning Commission

Inefficiencies in the Planning Commission



Replacement by NITI Aayog

- Established: **January 1, 2015.**
- Purpose: Act as a think tank for transforming India.
- Governance: Involves chief ministers of states; a bottom-up approach to planning.
- Major Difference: NITI Aayog promotes state involvement and decentralization, moving away from the centralized planning model of the Planning Commission.